ASML Holding N.V. (NASDAQ: ASML)

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HOLD, Valuation Concerns

Base Case Target: $1,415 | Spot: $1,642 | Downside: -13.8%
Bear: $1,161 | Bull: $1,780 | Blended: $1,442

Headline

The undisputed monopolist of advanced lithography is executing flawlessly, but the market is pricing in a growth trajectory that exceeds even our bull case. We rate ASML a Hold on valuation.

Executive Summary

We are initiating coverage on ASML Holding N.V. with a **Hold, Valuation Concerns** rating and a 12-month base case target of $1,415, implying 13.8% downside from the current $1,642.

ASML maintains an absolute monopoly in Extreme Ultraviolet (EUV) lithography, making it the indispensable chokepoint for global advanced semiconductor manufacturing. Q3 2026 was a record across the board: net sales of 11.7 billion euros (up 55% year over year), gross margin of 57.5%, and net income of 5.0 billion euros. Management raised full-year 2026 guidance for the third time, now expecting 44 to 45 billion euros in sales with approximately 56% gross margin.

The business is exceptional. The valuation is the problem. Our reverse DCF shows the market is pricing in a 21.9% revenue CAGR over the next six years, above our bull case of 18.5%. At a live CAPM-derived WACC of approximately 9.4% (beta 1.30 decaying to 1.00, 10-year at 5.1%, implied ERP at 3.7%), the

math does not support the current price even under optimistic assumptions. The market is adequately pricing in standard EUV demand and then some, leaving no margin of safety for the inevitable cyclicality of semiconductor capital equipment.

In our view, investors should wait for a better entry point. The company is a generational compounder, but price matters.

Bull Case

High-NA EUV ramp accelerates. TSMC, Intel, and Samsung are moving faster than expected on 2nm and sub-2nm nodes. Each High-NA system commands 350 to 400 million euros, dramatically above standard EUV pricing, driving both revenue and margin upside.

Memory capex supercycle. DRAM makers are structurally increasing capital intensity for high-bandwidth memory (HBM) used in AI accelerators. Management guides memory system sales up approximately 75% in 2026. This is the most capital-intensive memory build in history.

Installed Base Management compounding. The high-margin service and upgrade business hit 3.3 billion euros in Q3, beating guidance by nearly 400 million euros. This recurring stream carries accretive margins and grows with the installed base regardless of new system cycles.

Demand visibility through 2030. Customers are already discussing equipment needs for 2029 and 2030. Management has stated that planned 2027-2028 capacity may not meet demand. Backlog provides multi-year revenue visibility that few industrial companies can match.

Our bull case ($1,780, +8.4%) assumes 18.5% revenue CAGR through 2031 with terminal FCF margins reaching 40%.

Bear Case

Valuation leaves no room for error. At 21.9% implied revenue CAGR, the market expects ASML to compound faster than our most optimistic scenario for six straight years. Any disappointment in High-NA timing, memory capex, or China demand would compress the multiple sharply.

China export risk. China is expected to account for approximately 20% of 2026 sales, but tightening export controls on DUV systems create a structural headwind. Further restrictions could remove a meaningful revenue contributor.

Cyclicality is real. Semiconductor equipment has always been cyclical. The current AI-driven upcycle is powerful, but WFE spending will eventually normalize. ASML traded at far lower multiples during the last downturn.

Capital intensity. The company is spending heavily to expand High-NA manufacturing capacity. If demand disappoints, these fixed investments pressure returns.

Our bear case ($1,161, -29.3%) assumes 10.5% revenue CAGR with terminal FCF margins of 32%.

Verdict

ASML is the highest-quality company in semiconductor capital equipment, with a moat that may be the widest in all of technology. But quality and value are different things. At $1,642, we see 13.8% downside to our base case of $1,415. The reverse DCF verdict is unambiguous: the market is pricing in euphoric growth assumptions.

We rate the stock **Hold, Valuation Concerns**. We would become constructive on a meaningful pullback toward our base case, where the risk/reward would turn favorable for a business of this caliber. Until then, we see better opportunities elsewhere in the semiconductor value chain.

Key Themes

Theme	Status	Our Take
AI infrastructure capex	Accelerating	Foundry customers continue raising equipment demand forecasts. Positive for bookings through 2028.
High-NA EUV adoption	Ramping	

		First commercial shipments underway. ASP uplift of 2x vs standard EUV supports margin expansion.
Memory capex cycle	Strong	HBM-driven DRAM investment is the dominant near-term driver. 75% growth guided for 2026.
China export controls	Headwind	DUV restrictions tightening. 20% revenue exposure at risk of further curbs.
Gross margin trajectory	Expanding	57.5% in Q3, guiding 56% for the year. Mix shift toward EUV and services supports 60%+ long-term.

Other KPIs

Metric	Q3 2026	Comment
Net sales	11.7B euros	Record quarter, +55% YoY
Gross margin	57.5%	Above 55-57% guidance
Net income	5.0B euros	Includes 0.5B euros Mistral AI revaluation
EPS (basic)	12.95 euros	vs 5.49 euros prior year
Installed Base Management	3.3B euros	Beat guidance by ~0.4B euros
New systems sold	113	vs 86 in Q2
Cash and investments	12.7B euros	Up 68% quarter over quarter
Share buybacks (Q3)		2026-2028 program

	4.1B euros	
Free cash flow (Q3)	11.4B euros	Exceptional conversion

Guidance

Q4 2026: Net sales of 14.2 to 15.2 billion euros, gross margin around 57%, Installed Base Management sales around 3.7 billion euros.

Full year 2026: Net sales of 44 to 45 billion euros (raised for the third time), gross margin around 56%, year-over-year sales growth of approximately 36%. EUV system sales expected up over 45%, non-EUV up around 20%, Installed Base Management up around 50%.

Capital return: Second interim dividend of 1.88 euros per share payable November 4, 2026. Buyback program running at approximately 4 billion euros per quarter.

DCF Summary

Scenario	Revenue CAGR	Terminal FCF Margin	Target	Implied Upside
Bear	10.5%	32.0%	$1,161	-29.3%
Base	**14.0%**	**36.5%**	**$1,415**	**-13.8%**
Bull	18.5%	40.0%	$1,780	+8.4%

WACC: approximately 9.4% average (live CAPM, beta 1.30 decaying to 1.00, 10Y at 5.1%, ERP at 3.7%). Terminal growth: 4.0%. Model in euros, converted at spot EUR/USD of 1.1244. Net cash of 11.0 billion euros. 384.1M diluted shares.

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